CANADA BREAD COMPANY, LIMITED



INTERIM REPORT TO SHAREHOLDERS

For the Second Quarter Ended
June 30, 2002

REPORT TO SHAREHOLDERS:

"Canada Bread continued its strong track record of financial performance, posting a 123% increase in operating earnings in the second quarter," said Richard Lan, President and CEO. "We are leveraging the value of our recent acquisitions, including Multi-Marques and Ben's, and realizing strong growth across our businesses. Supported by our recent reorganization we have built a team that is focused on top-line profitable growth, and are utilizing our strong asset base to expand sales of our fresh and frozen bakery and pasta products across North America."

Sales for the quarter were $255.3 million, a 73% increase compared to last year. The increase in sales was principally due to the consolidation of results for Multi-Marques, wholly owned since October 2001. Excluding the Multi-Marques contribution, sales increased by 10% quarter-over-quarter. Sales for the first six months increased 71% to $486.8 million compared to $284.9 million for the prior year period.

In accordance with recent changes in generally accepted accounting principles, the Company no longer amortizes its goodwill, resulting in a positive impact on 2002 earnings. The effect of this is explained more fully in note 1 to these financial statements. All comparative percentage increases noted here are after taking account of this change.

Earnings from operations for the quarter were $16.7 million, compared to $6.8 million last year ($7.5 million before goodwill amortization), an increase of 123%. In addition to the contribution from Multi-Marques, the Company continues to benefit from operational improvements that have been achieved over the past several years, and from increased sales both in Canada and to Maple Leaf Bakery in the United States. Year-to-date earnings from operations of $27.7 million represented a 96% increase from $14.1 million last year, excluding goodwill amortization from last year's results.

Net earnings for the quarter were $10.0 million ($0.47 per share), compared to $3.8 million ($0.17 per share) last year ($4.5 million last year or $0.21 per share before goodwill amortization), an increase of 121%. The increase in net earnings reflects the strong improvement in operating earnings, which was partly offset by higher interest expense on debt incurred to purchase the remaining shares of Multi-Marques. Earnings for the first six months were $16.4 million or $0.77 per share compared to $8.6 million or $0.40 per share last year on the same basis.

On April 11th, 2002, the Company acquired the remaining 40% of the shares in Ben's Bakeries in Atlantic Canada. The Company now wholly owns all of its bakery assets in Quebec and Atlantic Canada. The Company has not yet completed the determination of fair values of the individual assets and liabilities acquired or its restructuring and integration plans for the operations acquired. Accordingly, the allocation of the purchase cost is preliminary. No restructuring costs related to the acquisitions, other than those incurred to date, have been accrued in the preliminary purchase accounting included in these financial statements. If decisions are made to restructure any existing Canada Bread operations, the cost of such restructuring will be charged to earnings in the relevant period.

On July 18, 2002 Canada Bread announced that it had acquired the Olafson's Baking Company Inc. of Delta, British Columbia. With annual sales of approximately $30 million, Olafson's specializes in the production of premium value added bakery products which are highly complimentary with Canada Bread's existing product line. The acquisition of Olafson's will expand the range of products Canada Bread can offer its national customers and provides a strong platform for growth.

Cash flow from operating activities for the second quarter improved by $21.6 million from last year due to the increased earnings and lower investments in working capital.

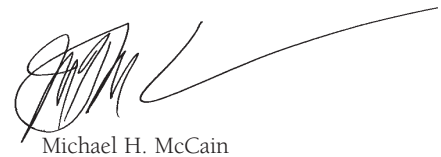
On July 24, 2002 the Company declared a dividend of $0.06 per share payable on October 1, 2002 to shareholders of record on September 13, 2002.

Canada Bread, which is 68% owned by Maple Leaf Foods Inc., is Canada's leading manufacturer and distributor of bakery products and fresh pasta to the food retail and food service industries.

For the Board of Directors,



Richard A. Lan
President and Chief Executive Officer



Michael H. McCain
Chairman

CONSOLIDATED BALANCE SHEETS

In thousands of Canadian dollars	As At June 30, 2002 (Unaudited)	As At June 30, 2001 (Unaudited)	As At December 31, 2001 Audited
Assets			
Current assets:			
Cash	**$ 17,611**	$ 8,358	**$ —**
Accounts receivable (note 3)	**28,543**	24,959	**25,211**
Due from related company	**8,103**	8,341	**6,461**
Inventories	**22,425**	16,340	**21,133**
Future tax asset	**4,638**	2,486	**3,094**
Prepaid expenses	**2,640**	4,073	**2,739**
	83,960	64,557	**58,638**
Investment in associated company	**—**	36,818	**—**
Property and equipment	**235,685**	152,380	**251,170**
Other long-term assets	**4,575**	2,524	**6,307**
Goodwill and other intangibles	**151,610**	72,753	**126,980**
	$475,830	$329,032	**$443,095**
Liabilities and Shareholders' Equity			
Current liabilities:			
Bank indebtedness	**$ —**	$ —	**$ 665**
Accounts payable and accrued charges	**97,481**	52,388	**95,061**
Dividends payable	**1,285**	1,285	**1,285**
Income and other taxes payable	**5,366**	846	**7,287**
Current portion of long-term debt	**8,536**	94	**8,838**
	112,668	54,613	**113,136**
Long-term debt	**60,266**	139	**36,275**
Future tax liability	**37,903**	34,287	**38,182**
Minority interest	**—**	—	**4,348**
Shareholders' equity	**264,993**	239,993	**251,154**
	$475,830	$329,032	**$443,095**

The accompanying notes to the consolidated financial statements are an integral part of this statement.

CONSOLIDATED STATEMENTS OF RETAINED EARNINGS

In thousands of Canadian dollars (Unaudited)	Six Months Ended June 30, 2002	Six Months Ended June 30, 2001
Retained earnings, beginning of period	**$214,189**	$ 198,476
Net earnings for the period	**16,409**	7,122
Dividends declared ($0.12 per share; 2001 - $0.12 per share)	**(2,570)**	(2,570)
Retained earnings, end of period	**$228,028**	$ 203,028

The accompanying notes to the consolidated financial statements are an integral part of this statement.

CONSOLIDATED STATEMENTS OF EARNINGS

In thousands of Canadian dollars, except per share amounts (Unaudited)	Quarter Ended June 30, 2002	Quarter Ended June 30, 2001	Six Months Ended June 30, 2002	Six Months Ended June 30, 2001
Sales	**$255,341**	$147,962	**$486,837**	$284,937
Earnings from operations	**16,747**	6,766	**27,656**	12,651
Other income	**—**	114	**27**	270
Earnings before interest and income taxes	**16,747**	6,880	**27,683**	12,921
Interest expense	**1,122**	219	**2,056**	436
Earnings before income taxes	**15,625**	6,661	**25,627**	12,485
Income taxes	**5,585**	2,862	**9,161**	5,363
Earnings before minority interest	**10,040**	3,799	**16,466**	7,122
Minority interest	**—**	—	**57**	—
Net earnings for the period	**$ 10,040**	$ 3,799	**$ 16,409**	$ 7,122
Earnings per share (basic and diluted)	**$ 0.47**	$ 0.17	**$ 0.77**	$ 0.33
Dividends per share declared	**$ 0.06**	$ 0.06	**$ 0.12**	$ 0.12
Weighted average number of shares (millions)	**21.4**	21.4	**21.4**	21.4

The accompanying notes to the consolidated financial statements are an integral part of this statement.

CONSOLIDATED STATEMENTS OF CASH FLOWS

In thousands of Canadian dollars (Unaudited)	Quarter Ended June 30, 2002	Quarter Ended June 30, 2001	Six Months Ended June 30, 2002	Six Months Ended June 30, 2001
Cash Provided By (used in):				
Operating activities				
Net earnings for the period	**$ 10,040**	$ 3,799	**$ 16,409**	$ 7,122
Items not affecting cash:				
Depreciation	**7,574**	4,577	**14,810**	9,044
Amortization	**—**	736	**—**	1,472
Minority interest	**—**	—	**57**	—
Future income taxes	**(1,143)**	412	**(1,462)**	317
Undistributed earnings of an associated company	**—**	(97)	**—**	10,153
Gain on sale of property and equipment	**—**	—	**(27)**	—
Changes in non-cash operating working capital	**5,148**	(1,535)	**(9,395)**	(9,108)
	21,619	7,892	**20,392**	19,000
Financing activities				
Dividends paid	**(1,285)**	(1,285)	**(2,570)**	(2,570)
Increase (decrease) in long-term debt, net	**19,509**	(24)	**23,689**	(44)
	18,224	(1,309)	**21,119**	(2,614)
Investing activities				
Additions to property and equipment	**(5,189)**	(2,575)	**(8,108)**	(4,748)
Proceeds from sale of property and equipment	**—**	—	**817**	—
Purchase of net assets of businesses	**(15,944)**	—	**(15,944)**	—
	(21,133)	(2,575)	**(23,235)**	(4,748)
Increase in cash for the period	**18,710**	4,008	**18,276**	11,638
Cash (bank indebtedness), beginning of period	**(1,099)**	4,350	**(665)**	(3,280)
Cash, end of period	**$ 17,611**	$ 8,358	**$ 17,611**	$ 8,358

CANADA BREAD COMPANY, LIMITED

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

(For the quarters ended June 30, 2002 and June 30, 2001)
(Tabular amounts in thousands of Canadian dollars except per share amounts)

1. Significant Accounting Policies

The unaudited interim consolidated financial statements should be read in conjunction with the annual consolidated financial statements for the year ended December 31, 2001. These unaudited interim consolidated financial statements have been prepared in accordance with Canadian generally accepted accounting principles using the same accounting policies as were applied in the consolidated financial statements for the year ended December 31, 2001 except for the following:

(a) Business Combinations, Goodwill and Other Intangible Assets

In September 2001, the Canadian Institute of Chartered Accountants ("CICA") issued Handbook Sections 1581 "Business Combinations" and 3062 "Goodwill and Other Intangible Assets". The new standards require the purchase method of accounting for business combinations and require that goodwill no longer be amortized but instead be tested for impairment at least annually. The Company has adopted these new standards as of January 1, 2002 and has discontinued amortization of all existing goodwill. Effective July 1, 2001, goodwill arising on business combinations completed after June 30, 2001 was not amortized.

In accordance with the transitional provisions of CICA Handbook Section 3062, Goodwill and Other Intangible Assets, the Company has completed the first step of the transitional goodwill impairment test for all reporting units. The results of this test have indicated there is no impairment to the book value of goodwill.

Effective January 1, 2002, the Company had unamortized goodwill of $127.0 million which is no longer being amortized. This change in accounting policy is not applied retroactively and the amounts presented for prior periods have not been restated for this change. To enable consistent comparison to prior periods, the following selected pro-forma financial information is provided for 2001, assuming no goodwill amortization for 2001:

	Quarter Ended June 30,		Six Months Ended June 30,	
	2002	2001	2002	2001
Earnings from operations as reported	**$ 16,747**	$ 6,766	**$ 27,656**	$ 12,651
Add back goodwill amortization		736		1,472
Pro-Forma earnings from operations	**$ 16,747**	$ 7,502	**$ 27,656**	$ 14,123
Pro-Forma net earnings for the period	**$ 10,040**	$ 4,535	**$ 16,409**	$ 8,594
Earnings per share as reported (basic and diluted)	**$ 0.47**	$0.17	**$0.77**	$ 0.33
Pro-Forma earnings per share (basic and diluted)	**$ 0.47**	$0.21	**$0.77**	$ 0.40

(b) Stock-based compensation and other stock-based payments

Effective January 1, 2002, the Company adopted the new CICA Handbook Section 3870, which requires that a fair value based method of accounting be applied to certain types of stock options. The new standard requires that for stock option awards, the effect on reported net earnings be disclosed on a pro-forma basis in the notes to the financial statements as if the Company had accounted for these stock option awards under the fair value method. The Company does not have any stock options outstanding as of June 30, 2002, nor did it issue any stock options during the first 6 months of 2002. However, Canada Bread is owned 68% by Maple Leaf Foods Inc. ("Maple Leaf") and during the quarter Maple Leaf issued stock options to certain employees and officers of the Company. No costs are charged to the Company for participation in Maple Leaf's stock option plan, however, Section 3870, requires the Company to disclose the pro forma impact of the options granted by Maple Leaf to Canada Bread employees as if they were options granted by Canada Bread.

Accordingly, during the second quarter of 2002, Maple Leaf granted 444,500 stock options to employees and officers of Canada Bread (449,500 year to date) that call for settlement by the issuance of Maple Leaf common shares at a weighted-average exercise price per share of $14.74. The fair value of the options issued in the quarter was determined using the Black-Scholes option pricing model with the following assumptions: a weighted-average risk free interest rate of 4.9%, a weighted-average expected dividend yield of 1.1%, a weighted-average volatility factor of the market price of the Maple Leaf's shares of 38.7%, and a weighted-average expected option life of 4.2 years. The estimated fair value of the options issued during the quarter was $1.6 million. For the purpose of this pro-forma disclosure, the estimated fair value of the options issued is amortized to income over the vesting period of the related options. For the three months ended June 30, 2002, the effect of these stock option awards, had they been charged to earnings during the second quarter of 2002, would have been minimal with no impact to diluted earnings per common share.

(c) Comparative figures

Certain comparative figures have been reclassified to conform with the financial statement presentation adopted in the current year.

2. Acquisitions

On October 12, 2001 the Company acquired the remaining 75% interest in Multi-Marques Inc., to now hold 100%. On April 11, 2002, the Company acquired the remaining 40% interest in Ben's Limited, a bakery business in Atlantic Canada, to now hold 100% for $12.9 million.

The Company has not yet completed the determination of fair values of the individual assets and liabilities acquired or its restructuring and integration plans for the operations acquired. Accordingly, the allocation of the purchase cost to the assets and liabilities acquired is preliminary and will change further as restructuring plans are finalized.

No restructuring costs related to the acquisitions, other than those incurred to date, have been accrued in the preliminary purchase accounting included in these financial statements, or accrued with respect to any restructuring of existing Canada Bread operations that may result from integration plans, when finalized.

On July 18, 2002 the Company acquired Olafson's Baking Company Inc. of Delta, British Columbia with annual sales of approximately $30 million. Olafson's specializes in the production of premium value added bakery products.

3. Accounts Receivable

Under revolving securitization programs, the Company has sold, with limited recourse, certain of its trade accounts receivable to financial institutions. The Company retains servicing responsibilities and assumes limited recourse obligations for delinquent receivables. At June 30, 2002, trade accounts receivable amounting to $45.5 million (June 30, 2001 – $20.0 million) had been sold under these programs.